

Negotiation Brief

This negotiation brief highlights key risks in the proposed contract with a focus on mitigating open-ended financial liability, aligning SLA terms with AI/ML realities, and correcting non-mutual indemnity and termination provisions. The primary objective is to shift current 'red-line' positions toward the firm's standard playbook terms to ensure project feasibility and balanced risk exposure.

c0056 - 8. LIMITATION OF LIABILITY AND INDEMNIFICATION (High)

The clause lacks required reciprocity and inappropriately excludes lost profits from the mutual waiver. Replace with standard mutual exclusion language that explicitly covers consequential damages while carving out confidentiality and IP infringement.

c0057 - 6 (High)

The clause fails to differentiate between infrastructure and AI model performance. Require language that caps service credits at 10% and excludes third-party AI provider outages from penalty-bearing SLAs.

c0061 - 9. TERM AND TERMINATION (High)

The demand for free delivery of all work product and artifacts is a red line. Amend to condition delivery upon payment for work performed and clarify that transition assistance is provided at standard rates.

c0062 - 9. TERM AND TERMINATION (High)

Unpaid, open-ended exit obligations are prohibited. Update to cap transition assistance at 60 days and require billing at the vendor's standard hourly rates.

c0064 - 10. ACCEPTANCE (High)

The current clause allows for infinite rejection cycles and uncapped refund risk. Cap rework at two cycles and escalate unresolved disputes to management to prevent open-ended financial exposure.

c0065 - 10. ACCEPTANCE (High)

Subjective acceptance criteria for AI models creates rework risk. Require that acceptance be tied to predefined success metrics and evaluation datasets with a limited cure cycle.

c0067 - 7 (High)

Tying final payment to an absolute performance guarantee for AI output is a red line. Reframe performance commitments as best-efforts targets to be reviewed via a performance cadence rather than penalty-bearing SLAs.

c0073 - 12. OPEN SOURCE AND THIRD-PARTY COMPONENTS (High)

The clause mandates open-ended vulnerability remediation at no cost. Narrow the scope to commercially reasonable efforts and require a separate change order for remediation services beyond initial delivery.

c0074 - 8 (High)

The lack of tiered SLAs or clear third-party exclusions creates significant financial exposure. Insert language that strictly limits remedies to capped service credits and excludes third-party AI outages.

c0084 - 9 (High)

The clause lacks essential SLA definitions. Include requirements to exclude third-party outages and cap remedies at 10% of fees, while moving AI quality to a performance review cadence.

c0104 - – (High)

The clause treats model performance as a binding guarantee. Reframe all performance metrics as best-efforts targets to protect against liability for factors outside our control.

c0108 - \$340,000 (High)

Deferring validation metrics creates significant liability risk. Require that evaluation criteria and datasets be locked into a signed SOW appendix before project commencement.

c0003 - 1. DUTIES (High)

The clause implies strict liability for all project deliverables. Replace with language that utilizes commercially reasonable efforts and a formal change order process to manage scope and schedule.

c0004 - 1. DUTIES (High)

Restricting personnel changes without cure periods is a red line. Amend to provide 30 days' notice for replacements and ensure the firm retains autonomy over staffing decisions.

c0008 - 1 (High)

The lack of deemed acceptance and the right to withhold payment for accepted milestones are unworkable. Add a 10-day deemed acceptance period and restrict withholding to disputed milestones only.

c0012 - 4. EARLY TERMINATION (High)

A 5-day notice and denial of payment for work-in-progress are unacceptable. Negotiate for 30 days' notice and ensure payment for all work performed and non-cancellable costs.

c0013 - 4. EARLY TERMINATION (High)

The clause imposes uncapped re-procurement costs. Limit termination liability to the aggregate liability cap and clarify that payment covers all work performed through the termination date.

c0016 - 5. INDEMNIFICATION (High)

The current clause is unilateral and uncapped. Request a mutual indemnification structure that is explicitly subject to the overall liability cap.

c0017 - 5. INDEMNIFICATION (High)

Explicitly removing the liability cap for indemnification violates company policy. Amend to ensure all indemnification obligations fall under the primary contract liability cap.

c0021 - 8. RECORDS, AUDIT AND INSPECTION (High)

Unfettered real-time system access is a security risk. Limit audit rights to once annually in a secure, sandboxed environment, prioritizing existing SOC 2/ISO reports.

c0022 - 9. WORK PRODUCT AND INTELLECTUAL PROPERTY (High)

The clause transfers IP upon creation rather than payment and lacks background IP carve-outs. Adjust to tie IP transfer to final payment and explicitly retain ownership of background IP.

c0023 - 3 (High)

The requirement to assign all pre-existing tools is a red line. Amend to retain ownership of background IP and grant the client a non-exclusive license for its use in deliverables.

c0027 - 11. ACCEPTANCE (High)

The clause requires infinite free rework. Implement a two-cycle rejection-and-cure cap and transition to formal dispute resolution if the second cycle fails.

c0031 - 4 (High)

The clause lacks mandatory SLA protections for AI engagements. Add standard exclusions for third-party outages and cap remedies at 10% of monthly fees.

c0036 - 1. CONSULTANT (High)

The clause lacks basic party definitions. Restructure the preamble to clearly identify the Consultant and define the engagement framework.

c0037 - 1. CONSULTANT (High)

A signature block without governing terms is insufficient. Ensure all signature pages incorporate the Master Services Agreement and SOW by reference.

c0039 - 5 (High)

The clause fails to exclude third-party dependencies from SLA uptime. Insert language requiring third-party exclusions and capping service credit remedies.

c0058 - 9. TERM AND TERMINATION (Medium)

The clause is silent on key termination triggers. Add a mutual termination-for-convenience right and a clear process for payment of work-in-progress.

c0059 - 9. TERM AND TERMINATION (Medium)

Termination payment is too restrictive. Update to 30 days' notice and ensure payment for all work performed and committed costs, not just accepted milestones.

c0060 - 9. TERM AND TERMINATION (Medium)

The 10-day cure period is too short. Increase to 15 business days and add a mandatory 30-day wind-down period to mitigate operational disruption.

c0063 - 10. ACCEPTANCE (Medium)

Infinite rejection cycles risk project stagnation. Add a two-cycle cap on rework and escalate to a formal change-order process thereafter.

c0066 - 7 (Medium)

The clause lacks necessary SLA exclusions for maintenance and third-party providers. Explicitly exclude these from uptime metrics to avoid unwarranted financial liability.

c0068 - 11. KEY PERSONNEL, NON-SOLICITATION AND NON-COMPETE (Medium)

Staffing approval rights are too restrictive. Shift to a notice-based replacement process and define a 10-day window for proposing qualified replacements.

c0069 - 11. KEY PERSONNEL, NON-SOLICITATION AND NON-COMPETE (Medium)

A 24-month non-solicit is excessive. Reduce the duration to 12 months post-engagement and limit the scope to personnel directly staffed on the project.

c0070 - 11. KEY PERSONNEL, NON-SOLICITATION AND NON-COMPETE (Medium)

The non-compete is overly broad. Narrow the restriction to cover specific client confidential information and ensure the carve-out for general ML consulting is explicitly preserved.

c0071 - 12. OPEN SOURCE AND THIRD-PARTY COMPONENTS (Medium)

Discretionary approval for all open-source components is too restrictive. Add a 'deemed approved' mechanism if no objection is raised within 10 days.

c0072 - 12. OPEN SOURCE AND THIRD-PARTY COMPONENTS (Medium)

A blanket copyleft ban is inflexible. Add a carve-out allowing permissive licenses and the use of copyleft tools for internal development.

c0077 - 13. INSURANCE AND AUDIT RIGHTS (Medium)

Broad audit rights lack cost-allocation and security safeguards. Require the client to bear audit costs and use sandboxed environments to protect third-party data.

c0080 - 14. GENERAL PROVISIONS (Medium)

The assignment clause is not mutual. Add a provision allowing for assignment without consent in the event of an internal corporate reorganization or M&A.;

c0081 - 14. GENERAL PROVISIONS (Medium)

The force majeure carve-out for performance guarantees creates ongoing liability. Explicitly exclude performance guarantees from liability during force majeure events.

c0083 - 14. GENERAL PROVISIONS (Medium)

The clause defaults to litigation. Negotiate for good-faith negotiation followed by binding institutional arbitration, preserving litigation only for injunctive relief.

c0086 - 9 (Medium)

The order of precedence is too generic. Integrate specific change-order turnaround and milestone reconciliation checkpoints to better align with AI/ML development cycles.

c0092 - EXHIBIT A – INITIAL STATEMENT OF WORK (Medium)

Latency targets are framed as firm commitments. Qualify them as best-efforts targets to avoid SLA breaches and clarify that they exclude third-party dependency impacts.

c0093 - EXHIBIT A – INITIAL STATEMENT OF WORK (Medium)

The clause lacks a change-order turnaround time. Insert a 3-day SLA for change request responses to ensure low-friction project governance.

c0095 - 1 (Medium)

The 3-week security plan requirement is too aggressive. Align this with the provision of standard SOC 2/ISO reports and ensure project-specific plans remain within our security policy.

c0096 - \$34,000 (Medium)

A 20-day turnaround is too slow for efficient project management. Reduce the change-order review period to 3 business days to maintain momentum.

c0097 - 2 (Medium)

The criteria for validation datasets are undefined. Explicitly require that success metrics be locked into the contract or an SOW appendix by week 6.

c0098 - \$34,000 (Medium)

A 20-day review period is excessive. Shorten the review turnaround to 3 business days to prevent project gridlock.

c0099 - 3 (Medium)

The milestone lacks success criteria. Link this deliverable to specific acceptance metrics in the SOW appendix and formalize the change-control path.

c0100 - \$68,000 (Medium)

20-day change turnaround creates operational friction. Request a 3-day turnaround to match the standard project efficiency targets.

c0101 - 4 (Medium)

The milestone lacks payment or acceptance definitions. Incorporate milestone-based payment structures and lock in success metrics to protect against scope creep.

c0102 - \$68,000 (Medium)

The 20-day turnaround is too slow for agile delivery. Reduce the response window to 3-5 business days to align with project velocity.

c0103 - 5 (Medium)

The clause lacks SLA protections for AI model performance. Explicitly disclaim binding performance guarantees and shift to a performance review cadence.

c0105 - \$68,000 (Medium)

20-day review period is incompatible with project momentum. Negotiate for a 3-day turnaround on change orders and deliverables.

c0106 - 6 (Medium)

Final Acceptance and security support lack defined scope. Set clear criteria for production verification and cap security support hours to prevent open-ended obligations.

c0107 - \$68,000 (Medium)

20-day review time is too long. Amend the clause to a 3-day turnaround to align with standard project governance.

c0110 - 11 (Medium)

Client-controlled personnel removal is disruptive. Require a good-faith replacement process and add contingencies for timeline extensions due to client-caused delays.

c0111 - 11 (Medium)

General performance warranties need qualification. Ensure performance is limited to best-efforts and that audit rights are strictly cost-allocated and restricted to sandboxed systems.

c0005 - 1. DUTIES (Medium)

Notice periods for meetings are too short. Require at least two business days' notice for project manager meetings to prevent operational interference.

c0007 - 1 (Medium)

The clause lacks change-order flexibility for fixed-price work. Include a monthly scope-reconciliation checkpoint to adjust for evolving requirements and maintain alignment.

c0009 - 1 (Medium)

The delay charges and payment restrictions are punitive. Cap liquidated damages at 10% and add a force majeure exclusion to protect against non-controllable delays.

c0010 - 1 (Medium)

Payment terms of Net 60 and blanket withholding for disputes are unfavorable. Negotiate for Net 45 terms and limit withholding solely to the disputed portion of invoices.

c0011 - 3. TERM (Medium)

The clause lacks clear acceptance mechanics, risking open-ended pressure. Define an acceptance process with a two-cycle cure cap to ensure project finality.

c0014 - 4. EARLY TERMINATION (Medium)

Termination protections are insufficient. Add standard language ensuring payment for all work performed and non-cancellable costs upon termination.

c0015 - 2 (Medium)

Service level terms are missing. Include language that service credits are the sole and exclusive remedy and explicitly exclude force majeure and third-party outages.

c0019 - 6. INSURANCE (Medium)

Immediate termination for insurance lapses is excessive. Incorporate a standard 15-day cure period for material breaches, including insurance maintenance issues.

c0020 - 7. LAWS, LICENSES AND INDEPENDENT CONTRACTOR STATUS (Medium)

Client-directed methods endanger independent contractor status. Clarify that while results must conform, the firm maintains control over the specific methods and delivery processes.

c0026 - 10. CONFIDENTIALITY (Medium)

Marketing references are restricted. Carve out a standard provision allowing the firm to use the client's name and logo in portfolio materials provided no confidential information is disclosed.

c0028 - Section 3 and without any additional fee. (Medium)

Sole client discretion over acceptance creates rework risk. Include a 10-day review period and a maximum of two cure cycles before moving to dispute resolution.

c0030 - 13. DISPUTES; GOVERNING LAW (Medium)

Mandatory litigation is inefficient for complex disputes. Insert a tiered resolution clause requiring good-faith discussions followed by institutional arbitration.

c0040 - EXHIBIT A – SCOPE OF SERVICES (Medium)

Performance metrics are presented as rigid guarantees. Reframe as target metrics based on best-efforts to avoid SLA-style liability for infrastructure configurations.

c0042 - 6 (Medium)

Performance metrics lack the necessary 'best-efforts' qualifier. Explicitly state that performance targets depend on high-quality input data and are not binding outcomes.

c0043 - EXHIBIT B – FEE SCHEDULE (Medium)

Liquidated delay charges are overly aggressive. Replace with a collaborative review process for milestones and incorporate a reasonable cure cycle before escalation.

c0044 - # (Medium)

Review periods and success triggers are missing. Clearly define review timelines and payment milestones to prevent open-ended rework.

c0045 - 1 (Medium)

Ambiguous feedback loops threaten project schedules. Mandate a 3-day feedback SLA and implement deemed-approval for milestone reviews to maintain project momentum.

c0046 - \$3,000 (Medium)

A 10-day change turnaround is inefficient. Negotiate for a 3-business-day turnaround to align with project efficiency goals.

c0048 - \$7,000 (Medium)

10-day review is too slow. Request a 3-day change-order turnaround to minimize project friction.

c0049 - 3 (Medium)

Deployment timelines lack necessary disclaimers. Qualify the schedule as an estimate and add protection against delays caused by external dependencies.

c0050 - \$8,000 (Medium)

A flat 10-day response for all inquiries lacks clarity. Tier response times by severity (2 hours for critical) and confirm best-efforts status.

c0052 - \$7,000 (Medium)

Change order turnaround of 10 days is too slow. Reduce to 3 days to match standard internal service levels.

c0053 - 5 (Medium)

Go-live lacks acceptance criteria and rework caps. Define clear success parameters and a two-cycle cure limit to prevent open-ended development.

c0054 - \$3,000 (Medium)

Ambiguous 10-day response timeline creates operational confusion. Define tiered response SLAs for support and maintain a 3-day turnaround for change orders.

c0055 - \$28,000 (Medium)

Dispute-based payment withholding is too broad. Limit withholding solely to the specific disputed portion and require prompt resolution of disputes.